

**BEFORE
THE FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-34

SEAFAIR USA LLC

VS.

STERLING CONTAINER LINE LIMITED AND
ATLANTIC FORWARDING LTD.

**RESPONDENTS STERLING CONTAINER LINE LIMITED AND ATLANTIC
FORWARDING LTD.'S RESPONSE IN OPPOSITION TO COMPLAINANT'S
MOTION FOR LEAVE TO AMEND THE COMPLAINT
AND TO AMEND THE SCHEDULING ORDER**

Pursuant to 46 C.F.R. § 502.66 and § 502.71(b), Respondents Sterling Container Line Limited (“Sterling”) and Atlantic Forwarding Ltd. (“Atlantic”, and together with Sterling, “Respondents”), by and through their undersigned counsel, hereby respond *in opposition* to Complainant SeaFair USA LLC’s (“SeaFair” or “Complainant”) Motion for Leave to Amend the Complaint and to Amend the Scheduling Order (the “Motion to Amend”) as follows. SeaFair’s Motion to Amend should be denied and the parties should be required to adhere to the Third Amended Scheduling Order of June 26, 2023.

There are clear and sufficient reasons for the Commission to deny Complainant’s Motion to Amend, including (i) the prejudice to the Respondents and unwarranted burden on the Commission, and (ii) the undue delay and dilatory motive that markedly characterizes SeaFair’s proposed revisions to fundamental facts within its Complaint that it was (or should have been) aware of when it filed its Original Complaint approximately 194 days prior to filing the instant Motion to Amend. The proposed revisions and amendments to SeaFair’s Original Complaint are not a result of Complainant identifying new and clarifying information via

the discovery process, but rather concern significant underlying facts about SeaFair's own accounting records of payments (not any other party's) and the purported damages at issue, including how those damages were characterized in the Original Complaint.

Complainant was well aware of the "new" information it now seeks to include in its proposed First Amended Complaint at the time that it filed its Original Complaint. Complainant is also well aware that its brief, proposed findings of fact, and appendix filings are currently due on July 7, 2023, and now belatedly files this Motion to Amend 10 days prior to its deadline, presumably with the hope that a revised motion practice Scheduling Order will result in an additional 30-45 days for Complainant to prepare and finalize its briefing (*see* Motion to Amend at p. 9).

This thinly-veiled dilatory tactic should not be permitted by the Commission. For the reasons identified herein, the Motion to Amend should be denied and the parties should be required to adhere to the Third Amended Scheduling Order of June 26, 2023.

I. LEGAL STANDARD

Commission Rule 66(a) provides in pertinent part that amendments "will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issue, without opportunity to reply to such amended pleading and to prepare for the broadened issues." 46 C.F.R. § 502.66(a).

Commission rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint. However, Commission Rule 12 provides that "for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Under Federal Rule 15(a)(1)(B), a party may amend its pleading once as a matter of course within 21

days after service of a responsive pleading. F.R.C.P. 15(a)(1)(B). After that period, an amended pleading is permitted with opposing party's written consent or leave of court, which should be freely given when justice so requires. F.R.C.P. 15(a)(2). "Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments." *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962). Prejudice to the opposing party is the most important factor. *Jackson v. Bank of Hawaii*, 902 F.2d 1385, 1387 (9th Cir. 1996) (citing *Zenith Radio Corp. v. Hazeltine Research, Inc.*, 401 U.S. 321, 330–31 (1971)). "Undue delay is delay that prejudices the nonmoving party or imposes unwarranted burdens on the court." *BNSF Ry. Co. v. San Joaquin Valley R.R. Co.*, 2011 WL 3328398, at *2, 2011 U.S. Dist. LEXIS 84694, at *5 (E.D. Cal. Aug. 2, 2011) (citing *Mayeaux v. Louisiana Health Serv. and Indem. Co.*, 376 F.3d 420, 427 (5th Cir. 2004)). Delay is "undue" when an unwarranted burden is placed on the court or when the requesting party has had previous opportunities to amend. *Cellectis S.A. v. Precision Biosciences*, 883 F. Supp. 2d 526, 532 (D. Del. 2012) (citing *Estate of Oliva ex rel. McHugh v. New Jersey*, 604 F.3d 788, 803 (3d Cir. 2010)).

Courts particularly disfavor motions to amend whose timing prejudices the opposing party by requiring a re-opening of discovery with additional costs, a significant postponement of the trial, and a likely major alteration in trial tactics and strategy. *Adams v. Magnusson*, No. 1:19-CV-00547-GZS, 2021 WL 2078000, at *1 (D. Me. May 24, 2021) (citations omitted).

II. RESPONSE IN OPPOSITION AND ARGUMENT

SeaFair's Motion to Amend should be denied and the parties should be required to adhere to the Third Amended Scheduling Order of June 26, 2023. Each of the proposed amendments

concern information that was readily available to Complainant when it filed its Original Complaint in December 2022. The central correction that SeaFair seeks to include in its proposed Amended Complaint is admitting that it did not actually pay any of the destination charges or document turnover fees that it stated it had paid in the Original Complaint – rather, SeaFair now alleges that (i) it has outstanding invoices that were issued to it by non-party Mediterranean Shipping Company (“MSC”); and (ii) these MSC destination charge and document turnover fee invoices are still due and owing by SeaFair, and SeaFair failed in its attempts to collect these charges from the liable third-party consignees so it now seeks prospective reimbursement from the Respondents. (*See* Motion to Amend p. 4-6, Proposed Amendment to para. Nos. 8, 9, 15, 21, 24, 25). At all relevant times of this litigation and prior to its filing of the Original Complaint, SeaFair was aware of the facts it now seeks to include in its Amended Complaint. Moreover, SeaFair has not provided an adequate explanation (aside from wanting to clarify its own actions/inactions) for the delay in seeking to amend its Complaint only after the close of discovery and ten days prior to the deadline for SeaFair’s briefing, proposed findings of fact, and appendix filings.

The Motion to Amend imposes unwarranted burdens on the Commission and on the Respondents, and SeaFair has had numerous previous opportunities to amend its Complaint – it only does so now in an attempt to further delay its briefing schedule and these proceedings. SeaFair has not included any additional new facts or allegations, and the nature of the revised characterization of its alleged damages are now entirely speculative – SeaFair simply appears to be seeking to correct and/or recast the factual record that it inaccurately set forth in its Original Complaint over 6 months ago, despite having had ample time to do so over course of 2023 and the span of this litigation, in order not to look misleading and/or inconsistent in its upcoming briefing and proposed findings of fact.

Finally, the Amended Complaint and revised characterizations of SeaFair’s purported damages stand to further delay these proceedings by at least 45 days under SeaFair’s proposed scheduling order and will potentially create the need to re-open discovery – imposing significant and unwarranted burdens on the Commission and creating undue prejudice for the Respondents.

A. Proposed Amendments

Complainant’s 13 identified Proposed Amendments can be viewed in three different categories: (i) minor recharacterizations of the relationship between Complainant and Respondent (*see* Proposed Amendments para. Nos. 5 and 23); (ii) corrections to its previous allegations regarding damages (SeaFair has not actually paid any of the MSC invoices it previously identified as “advanced by SeaFair on behalf of Respondents,” and now seeks to recast its allegations and demands for relief to require Respondents’ to act as SeaFair’s debt collector for funds that should have been collected by SeaFair from third-party consignees) (*see* Proposed Amendments to para. Nos. 8, 9, 15, 21, 23, 24, 25, 27, 30, 34); and (iii) recalculating the purported damages and relief requested, including in the context of the parties’ business relationship with third-party carrier MSC (*see* Proposed Amendments para. Nos. 19, 20, 34, Footnote 1).

Proposed Amendments to para. Nos. 5 and 23 merely attempt to clarify and re-state that SeaFair was the destination agent for Respondents for certain shipments occurring in 2021 and 2022. This information was (i) already identified and alleged in the Original Complaint (*see, e.g.,* Original Complaint p. 2, para. Nos. 19, 22, 23, and 25); (ii) provides no relevant value or significance to Complainant’s current claim worthy of an amendment; and (iii) should not require additional responses from the Respondents.

With respect to the entire recharacterization of Complainant’s purported damages, while SeaFair’s Motion to Amend states that the proposed amendments “seek to more accurately

describe the relationships and facts already alleged” (Motion to Amend, p. 3), in reality, SeaFair is seeking to fundamentally amend the nature, theory, and depiction of the damages alleged in its Original Complaint based on facts that were readily available to SeaFair at the time of its filing in December 2022.

SeaFair’s Original Complaint alleged that SeaFair paid certain destination charges related to steamship lines, terminals, and logistics companies on behalf of Respondents as part of SeaFair’s engagement as a destination agent on certain shipments. (*See* Original Complaint para. 8 (“SeaFair...paid the destination charges”); para. 9 (“SeaFair is entitled to reimbursement”); para. 15 (“SeaFair paid an additional \$321,533.52 out of pocket in destination charges”); and para. Nos. 19 and 23 (characterizing the claimed destination charges as “monies advanced by SeaFair on behalf of Respondents”)). SeaFair now states in its proposed amendments that SeaFair merely attempted to (and presumably failed to) collect destination charges from liable third-party consignees for the claimed invoices, and in fact has active invoices due and outstanding to MSC for the claimed charges (*see* Motion to Amend Proposed Amendments to para. Nos. 8, 9, 15, 19, 21, 23, and 30) – but also now appears to be entirely reneging on its original allegations that it had already paid these destination charges to a third-party and was therefore seeking reimbursement from the Respondents.

When SeaFair filed its Original Complaint in December 2022, it was actually (or clearly should have been) aware that these alleged damages were related to SeaFair’s outstanding invoices with MSC, not based on payments that had already been made by SeaFair on behalf of Respondents, as initially alleged by SeaFair. This was not information that was just identified by SeaFair as potentially relevant 6 months into the litigation timeline contemporaneous with its filing of the Motion to Amend – this was information that could have been corrected and included as an

amendment to the Original Complaint at any time during the multi-month discovery phase which just recently was closed. “Whether the moving party knew or should have known the facts and theories raised in the proposed amendment at the time it filed its original pleadings is a relevant consideration in assessing untimeliness.” *BNSF Ry. Co. v. San Joaquin Valley R. Co.*, No. 1:08-CV-01086-AWI, 2011 WL 3328398, at *2 (E.D. Cal. Aug. 2, 2011) (citing *Jackson v. Bank of Hawaii*, 902 F.2d at 1388 (9th Cir. 1996)).

B. Prejudice to Respondents and Unwarranted Burden on the Commission – Undue Delay and Dilatory Motive

The passage of time, without more, does not require that a motion to amend a complaint be denied; however, at some point, the delay will become “undue,” placing an unwarranted burden on the court, or will become “prejudicial,” placing an unfair burden on the opposing party. *See Doltz v. Harris & Assocs.*, 280 F. Supp. 2d 377, 391–92 (E.D. Pa. 2003). When a party filing a motion to amend has no adequate explanation for the delay, untimeliness can be a sufficient reason to deny leave to amend. *Id.*

As stated above, SeaFair’s given reasoning for the proposed amendment is to “seek to more accurately describe the relationships and facts already alleged.” (Motion to Amend, p. 3). The untimely recharacterization of SeaFair’s damages in the proposed amendments imposes an unwarranted burden on the Commission and places an undue burden on the Respondents, and the unnecessary delay brings into question the true motivations behind the Motion to Amend in light of the current upcoming scheduling deadline for Complainant’s briefing and proposed findings of fact.

SeaFair offers no reason beyond additional “accuracy” in its pleadings with respect to the proposed amendments, but at all relevant times SeaFair knew that it itself (SeaFair) had not in fact paid the destination charges it originally sought “reimbursement” for. If the Motion to Amend

were granted, Respondents would be forced to file updated Verified Answers to what is generally an identical set of alleged facts, yet separately address the entirely new set of speculative damages described and relief requested. The likelihood and potential for the Respondents needing additional discovery based on the recharacterization of the purported damages and SeaFair's true third-party collection efforts is high, but the Commission has already stated no further motions regarding discovery will be permitted (*See* Order on Motion to Compel of June 26, 2023). Granting this Motion to Amend would create additional unwarranted delays and potentially force the Commission to re-open discovery, which could result in additional motion practice that will only further delay these proceeding.

For example, SeaFair has identified new damages associated with the risk of collection suits by certain steamship lines, SeaFair's inability to conduct future business with steamship lines, and the refusal of such steamship lines to release shipments for which SeaFair serves as the origin or destination agent (*see* Motion to Amend p. 6, Proposed Amendment para. 30). This is an entirely new description of speculative damages associated with unnamed third-party steamship lines which will clearly necessitate additional facts and discovery associated with those claims to avoid unduly prejudicing Respondents, including further clarification with respect to how such speculative damages constitute legitimate Shipping Act violations by the Respondents. "A need to reopen discovery and therefore delay the proceedings supports a district court's finding of prejudice from a delayed motion to amend." *BNSF Ry. Co. v. San Joaquin Valley R. Co.*, No. 1:08-CV-01086-AWI, 2011 WL 3328398, at *3 (E.D. Cal. Aug. 2, 2011) (citing *Lockheed Martin Corp. v. Network Solutions, Inc.*, 194 F.3d 980, 986 (9th Cir. 1999)).

Moreover, SeaFair has given no reasoning for the delay in its submission of the Motion to Amend when all of the information identified for amendment was known to SeaFair when it filed

its Complaint over 6 months ago. Respondents would be significantly prejudiced if forced to respond to an updated set of facts and purported damages when discovery is closed and the briefing period is underway under the court's Third Amended Scheduling Order.

Ultimately, given the timing of the Motion to Amend, the lack of good cause or adequate explanation for the delay in filing Motion to Amend, the fact that the "new" information proposed for amendment has been known (or should have been known) to Complainant since the initiation of this litigation, and the delay in the resolution of these proceedings that would likely result from the additional investigation and discovery that Respondents believe would be necessary if the Motion to Amend is allowed, the Motion to Amend should be denied. Unfortunately, the timeliness of this Motion considered in the context of the current Scheduling Order and related briefing deadlines raises the specter of bad faith and dilatory motive on the part of the Complainant.

C. Proposed Scheduling Order Amendments

The Motion to Amend seeks Commission approval to implement a fourth amended Scheduling Order that would provide SeaFair at least 45 additional days to file its briefing, proposed finding of fact, and appendix, originally due July 7, 2023 (10 days from the date SeaFair filed its Motion to Amend). In considering the totality of the circumstances associated with SeaFair's undue delay in bringing the Motion to Amend and the unwarranted burden to the Commission and the Respondents in further delaying these proceedings, SeaFair's Motion should be denied and the parties should be required to adhere to the Third Amended Scheduling Order of June 26, 2023 in order to secure the just, speedy, and inexpensive determination of this proceeding in accordance with 46 C.F.R. § 502.1.¹

¹ The initial decision of the presiding officer in this proceeding shall be issued by December 15, 2023, and the final decision of the Commission shall be issued by July 1, 2024. *See* Notice of Filing of Complaint and Assignment (December 15, 2022).

Alternatively, in the event that the Commission grants Complainant's Motion to Amend, Respondents propose the following alterations to the Commission's Third Amended Schedule:

- July 7, 2023: Complainant's Brief, Proposed Findings of Fact, and Appendix
- August 7, 2023: Respondents' Answer to Complainant's Amended Complaint, Respondents Opposition Brief, Respondents' Responses to Proposed Findings of Fact, Proposed Findings of Fact, and Appendix.
- August 21, 2023: Complainant's Reply Brief and Responses to Proposed Finding of Fact.

III. CONCLUSION

For the reasons identified herein, Respondents oppose Complainant's Motion to Amend and respectfully request that the Motion to Amend be denied by the Commission and that the parties be required to adhere to the Third Amended Scheduling Order of June 26, 2023, as well as all other proper and just relief.

Date: July 5, 2023

[Signature Page Follows]

Respectfully Submitted,

/s/ Ashley K. Kelley
Ashley K. Kelley, Esq.
(SC #78013; US District Court for the
District of South Carolina #10369)
Womble Bond Dickinson (US) LLP
5 Exchange Street
PO Box 999 (29402)
Charleston, SC 29401
Direct Dial: (843) 720-4679
Email: Ashley.Kelley@wbd-us.com

Julius H. Bodie, Esq.
(D.C. Bar # 1601620; CA Bar # 318048)
Womble Bond Dickinson (US) LLP
2001 K Street, NW
Suite 400 South
Washington D.C. 20006
Direct Dial: (202) 857-4552
Email: Julius.Bodie@wbd-us.com

*Counsel for Atlantic Forwarding Ltd. and Sterling
Container Line Limited*

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 5th day of July 2023, the foregoing Response in Opposition to Complainant's Motion to Amend was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
The Honorable Erin M. Wirth
Chief Administrative Law Judge
Presiding Administrative Law Judge
judges@fmc.gov

Complainant
SEAFair USA LLC
C/O LIANG + MOONEY, PLLC
Shanshan Liang, Esq.
sliang@customscourt.com
Counsel for SeaFair USA LLC

/s/ Ashley K. Kelley
Ashley K. Kelley, Esq.